The Mandarin Model of Growth

1. regional gov. competition
   (1) 70% fiscal spending
   (2) dev. of econ institution and infrastructure
   (3) appointed by central gov.

1.1 Base model: Barro 1990, input: labor, capital, <u>infrastructure</u>
↑ Key channel

fiscal spending — infra / consumption by government

because infra has {+ externality} under-investment

⇓

central gov. will establish <u>tournament</u>

□

1.2 Short-termist behaviour

(1) no reliable stats about the economy → over reporting of output

(2) rising leverage (debt financing to expend fiscal budget)

{ social motive → current period more output for consumers
{ personal career motive

could lead to over-invest

□

1.3 Mechinism for ~~Leverg~~ leverage over spill

If C. gov has lags in realising the behaviour, then governors will race to invest

□

1.4. Key features

1. gov. active in providing infra.
2. Agency problem.

2. Basic setting

infrastructure

$$Y_{it} = A_{it} K_{it}^{\alpha} L_{it}^{1-\alpha} G_{it}^{1-\alpha}$$

local productivity

capital, labour decision affected by G

2.1 firm $\max_{\{K_{it}, L_{it}\}} A_{it} K_{it}^{\alpha} L_{it}^{1-\alpha} G_{it}^{1-\alpha} - \Phi_{it} L_{it} - R K_{it}$

2.2 Asmp. 1. $\exists$ global financial market : R exogenous

2. Labour immobile ; competitive wage , $L_{it} = 1$

2.3. Competitive wage $\Phi_{it} = (1-\alpha) A_{it} K_{it}^{\alpha} G_{it}^{1-\alpha}$

2.4 Firm's optimal capital $K_{it} = \left(\frac{\alpha A_{it}}{R}\right)^{\frac{1}{1-\alpha}} G_{it}$ (m.prod of K = R)

2.5 Equilibrium out put $Y_{it} = \left(\frac{\alpha}{R}\right)^{\frac{\alpha}{1-\alpha}} A_{it}^{\frac{1}{1-\alpha}} G_{it}$

2.6. Result. $G \uparrow$ → K investment $\uparrow$
↳ wage $\uparrow$

On other hand

2.7 overlapping generation $u = \log C_{it}^{t} + \beta \log C_{it+1}^{T}$

when young supply one unit of labour, then saving

$\Rightarrow$ consumption increases when $G \uparrow$

Local Government